

## GLOBAL INVESTMENT SOCIETY

Investment Research Division

# Summit Outdoor Co. inc.

NYSE: SUMM

## Recommendation: OVERWEIGHT / LONG

Current price: \$42.00      Price target: \$58 (+38% upside)

*A profitable DTC brand trading at trough multiples after a one-year reset — we see stabilization, not structural decline*

September 2026      GIS template — replace Summit / SUMM with your company

- 1. Investment thesis summary**
- 2. Situation overview**
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- 18. Comparable companies**
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*Overweight SUMM with a \$58 target on +38% upside and an asymmetric payoff*

**PRICE TARGET**

**\$58**

+38% vs \$42.00 today

**RATING**

**OVERWEIGHT**

12-month horizon

**WHY NOW**

Shares –38% from highs after FY2026 guide reset; sentiment overshoots fundamentals at ~8x forward EPS

**Three reasons to be long**

1. Priced for permanent decline — at ~5.2x EV/EBITDA and ~8.4x FY2026E EPS with \$445M net cash, the stock embeds impairment the P&L does not support
2. International whitespace — EMEA and APAC are <35% of sales vs ~50% at global peers; store rollout can restore mid-single-digit growth post-FY2026
3. Durable FCF + buybacks — 14% operating margin in FY2025, ~\$270M FCF, and shares down 9% over three years of repurchases

***Base-case DCF \$52; bear \$34 (–19%) vs bull \$78 (+86%) — downside cushioned by net cash and ~7% FCF yield***

*A profitable DTC compounder has de-rated to value multiples after a guidance reset*

## **What happened**

- SUMM shares fell from a 52-week high of ~\$68 to ~\$42 after Q2 FY2026 earnings (July 2026)
- Management guided FY2026 revenue \$3.28–\$3.34B (–4% to –6%) and diluted EPS \$2.30–\$2.45 vs \$2.68 in FY2025
- Americas comps turned negative (–4% FY2025) while higher promo and freight pressure gross margin; SG&A deleverages on lower volume

## **Where the business stands (FY2025)**

- Net revenue \$3,512M (+3.9% y/y); gross profit \$1,989M (56.6% margin); operating income \$492M (14.0% margin)
- Net income \$318M; diluted EPS \$2.68; diluted shares 118.6M (down from 128.2M in FY2022)
- Balance sheet: \$445M cash, \$285M term loan — net cash ~\$160M funds buybacks and international stores
- CFO \$398M; capex \$128M → ~\$270M free cash flow in a slowing year

*Sentiment has capitulated — sell-side targets cluster near the current price*

### **What the street is saying**

- Consensus drifted to Hold; recent cuts include Morgan Stanley \$40 (EW), Barclays \$41, and UBS \$43
- Bear case: Americas saturation, promo-driven GM pressure, private-label share gain, and execution risk on international rollout

### **Our differentiated view**

- Tape moved from ~22x earnings (FY2024) to ~8x today — expectations low enough that stabilization re-rates the stock
- At ~5x EV/EBITDA the market implies perpetual decline; our base case needs only flat-to-low-single-digit growth post-FY2026
- Consensus extrapolates one reset year; we underwrite international runway and normalized 15% operating margins

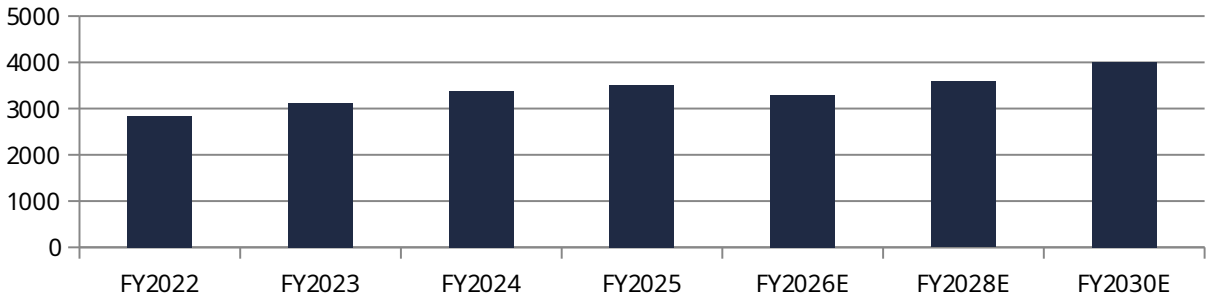
Business

- Founded 2004 in Denver; designs technical outerwear, trail apparel, and accessories for hiking, ski, and everyday outdoor
- Predominantly DTC — 412 company-operated stores plus e-commerce (~48% of revenue) and limited wholesale
- Reports Americas (~68%), EMEA (~18%), and APAC (~14%) — international under-indexed vs global outdoor peers

Revenue trajectory (US\$ M)

- FY2022: 2,840 → op. margin 14.0%
- FY2023: 3,125 → op. margin 16.4%
- FY2024: 3,380 → op. margin 17.0%
- FY2025: 3,512 → op. margin 14.0%

Net revenue



GROWTH ARCHITECTURE

Americas

Mature, high-productivity base; negative comps are the market concern

EMEA

Fastest store growth (+22% revenue FY2025); brand awareness still early

APAC

Small but accelerating — distributor transition to owned stores in FY2026–27

Premium pricing plus DTC scale drives sector-leading unit economics

## Unit economics

- Gross margin ~56–57% — full-price positioning with disciplined promo (FY2025 GM 56.6%)
- Operating margin ~14% FY2025 (peak 17.0% FY2024) — top quartile in specialty apparel
- Store productivity ~\$1,180/sq ft on ~3,200 sq ft average — above mall apparel median
- Cash-generative: FY2025 CFO \$398M on \$128M capex → ~\$270M FCF

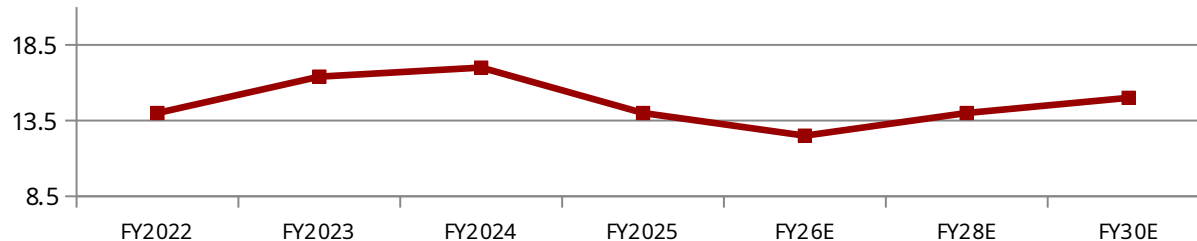
## Competitive moats

- Brand community and athlete ambassadors support pricing power
- Technical fabric R&D (Gore-Tex, proprietary insulation) drives repeat purchase
- First-party DTC data informs assortment, pricing, and inventory
- Scale sourcing + international whitespace

### MARGIN PROFILE (FY2025)

|                  |          |
|------------------|----------|
| Gross margin     | 56.6%    |
| Operating margin | 14.0%    |
| Net margin       | 9.1%     |
| FCF (approx.)    | ~\$0.27B |

## Operating margin %



*Structural tailwinds favor scaled brands in a consolidating outdoor category*

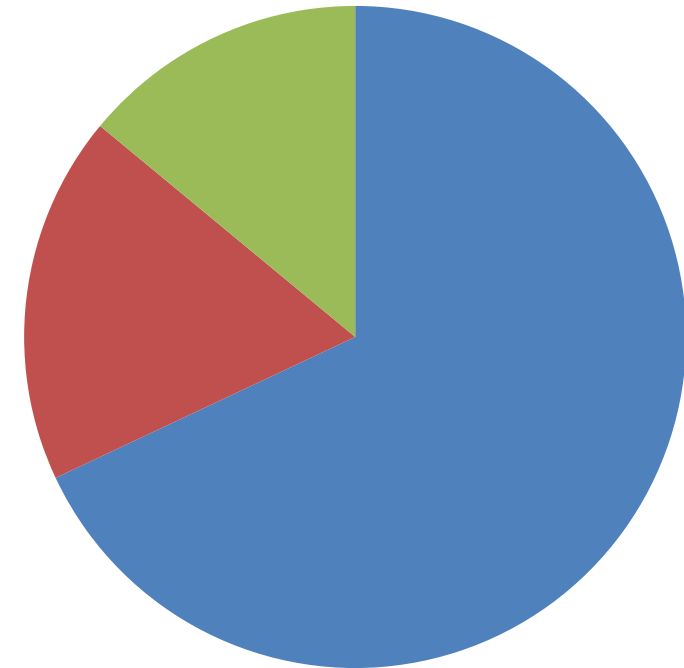
## Category dynamics

- Global outdoor / performance apparel ~\$180B, growing ~6% — wellness, adventure travel, and gorpcore casualization
- Fragmented market consolidating toward technical product, omnichannel, and brand equity; Patagonia, Arc'teryx, and Columbia are anchors
- Barriers rising: fabric partnerships, supply-chain scale, and productive retail footprints are hard to replicate

## Where we fit

- Premium technical positioning with structurally higher margins than mass outdoor
- Under-indexed internationally — primary multi-year growth lever vs Patagonia / Columbia
- Competition real but Summit's DTC scale and innovation cadence remain differentiated

## Category share %



■ Americas ■ EMEA ■ APAC

*Illustrative category mix — replace with your segment data*



*The valuation already discounts a permanently shrinking business*

## **The market pays trough multiples for a brand that still earned 14% operating margin in FY2025**

- At ~\$42 the stock trades at ~5.2x EV/EBITDA and ~8.4x FY2026E EPS vs a 5-year range of ~15–25x
- Net cash ~\$160M after term debt; enterprise value ~\$5.0B at current price
- Base-case DCF \$52/sh (WACC 10.2%, g 2.25%, terminal OM 15%) — bear \$34 brackets downside
- To justify current price you need revenue and margins to shrink forever — inconsistent with international growth

### **VALUATION SNAPSHOT**

**EV / EBITDA: 5.2x**

**FY2026E P/E: 8.4x**

**FCF yield: ~7%**

**Net cash: ~\$160M**

**DCF base: \$52**

*International expansion is the multi-year growth engine*

## Geographic mix shift is the bridge back to mid-single-digit revenue growth

- EMEA revenue +22% FY2025 with a long store-count runway vs a mature Americas base
- APAC transitioning from distributors to owned retail — incremental FY2026–28 contributor
- As international scales, it dilutes Americas drag; model returns total revenue to +4.2% by FY2028E
- Women's technical and footwear add optionality the market is not paying for

### REVENUE PATH (model)

FY2025A: \$3,512M

FY2026E: \$3,298M (–5.8%)

FY2028E: \$3,584M

FY2030E: \$4,012M

*Elite economics and buybacks compound value through the trough*

## **Even a reset year throws off ~\$250M+ of FCF returned via repurchases**

- Operating margin 14.0% FY2025 — well above specialty retail median ~8%
- FY2025 CFO \$398M; after \$128M capex → ~\$270M FCF
- Repurchased \$185M (FY2024) and \$142M (FY2025); shares 128.2M → 118.6M
- At ~\$42/sh, buybacks retire ~2× the shares vs prior highs — accretive to per-share value

### **CAPITAL RETURN**

**FY2025 CFO: \$398M**

**FY2025 capex: \$128M**

**FY2025 buyback: \$142M**

**Shares: 128.2M → 118.6M**

**Risk → Mitigant**

**Weather / fashion risk in core outerwear**

Broadened assortment, year-round technical layers, and international diversification

**Americas comps stay negative**

Expectations reset; ~8x EPS provides cushion if declines moderate

**Freight and input-cost inflation**

Pricing power, sourcing mix shift, and hedging program

**Competition from Patagonia, Arc'teryx, private label**

DTC data, fabric partnerships, under-penetrated EMEA/APAC

**FX on growing international mix**

Natural hedges and active FX program limit earnings volatility

*A sequence of events that closes the gap to intrinsic value*

|   |                                   |                                                                                            |
|---|-----------------------------------|--------------------------------------------------------------------------------------------|
| ■ | <b>Q3 FY2026 (Nov 2026)</b>       | Guided revenue –6% to –7%; watch holiday traffic and EMEA store openings for stabilization |
| ■ | <b>FY2026 year-end (Mar 2027)</b> | First full year lapping the reset; cost actions vs lowered bar support EPS                 |
| ■ | <b>FY2027</b>                     | Margin inflection as promo/freight anniversaries; buybacks compound per-share value        |
| ■ | <b>FY2027–FY2028</b>              | Total revenue returns to growth — trigger for multiple re-rating toward peers              |

Historical results with our base-case forecast (US\$ M)

Financials — Income Statement

| US\$ M             | FY2022 | FY2023 | FY2024 | FY2025 | FY2026E | FY2028E | FY2030E |
|--------------------|--------|--------|--------|--------|---------|---------|---------|
| Net revenue        | 2,840  | 3,125  | 3,380  | 3,512  | 3,298   | 3,584   | 4,012   |
| Gross profit       | 1,562  | 1,750  | 1,926  | 1,989  | 1,848   | 2,009   | 2,247   |
| Operating income   | 398    | 512    | 574    | 492    | 412     | 502     | 602     |
| Operating margin % | 14.0%  | 16.4%  | 17.0%  | 14.0%  | 12.5%   | 14.0%   | 15.0%   |
| Net income         | 248    | 338    | 382    | 318    | 278     | 348     | 428     |
| Diluted EPS (\$)   | 2.14   | 2.89   | 3.24   | 2.68   | 2.35    | 2.94    | 3.62    |

FY2026E aligns with company guidance (revenue −5.8%, EPS ~\$2.35); recovery driven by international growth and margin normalization

A net-cash balance sheet underpins downside protection (US\$ M)

| US\$ M             | FY2022 | FY2023 | FY2024 | FY2025 | FY2026E | FY2028E | FY2030E |
|--------------------|--------|--------|--------|--------|---------|---------|---------|
| Cash & equivalents | 420    | 512    | 468    | 445    | 512     | 628     | 845     |
| Inventories        | 312    | 298    | 325    | 358    | 342     | 335     | 358     |
| Total assets       | 2,105  | 2,288  | 2,412  | 2,520  | 2,485   | 2,712   | 3,105   |
| Total liabilities  | 890    | 912    | 945    | 968    | 945     | 982     | 1,045   |
| Total equity       | 1,215  | 1,376  | 1,467  | 1,552  | 1,540   | 1,730   | 2,060   |
| Funded debt        | 320    | 305    | 285    | 285    | 265     | 220     | 180     |

De-leveraging path and growing cash fund buybacks and international expansion — core of our margin of safety

Durable free cash flow through the trough (US\$ M)

| US\$ M               | FY2022 | FY2023 | FY2024 | FY2025 | FY2026E | FY2028E | FY2030E |
|----------------------|--------|--------|--------|--------|---------|---------|---------|
| Cash from operations | 385    | 445    | 462    | 398    | 365     | 398     | 445     |
| Capital expenditures | (118)  | (125)  | (132)  | (128)  | (132)   | (118)   | (112)   |
| Free cash flow       | 267    | 320    | 330    | 270    | 233     | 280     | 333     |
| Share repurchases    | (85)   | (120)  | (185)  | (142)  | (125)   | (125)   | (125)   |
| D&A                  | 142    | 158    | 172    | 185    | 192     | 205     | 218     |

FCF stays ~\$230M+ even in the FY2026 reset year; comfortably funding continued repurchases



*A modestly levered, net-cash-lean structure drives a ~10.2% discount rate*

## Capital structure

- \$285M term loan (3.8% fixed) plus undrawn revolver; net cash ~\$160M after debt
- Enterprise value ~\$5.0B at ~\$42/sh
- Relevered beta 1.05 on specialty retail comp set; Damodaran unlevered retail  $\beta$  cross-check
- Capital returned via buybacks; FY2025 repurchases \$142M (no dividend)

### WACC BUILD (CAPM)

Risk-free rate (10-yr UST) 4.8%

Equity risk premium 6.0%

Levered beta 1.05

**Cost of equity 11.1%**

After-tax cost of debt 2.9%

Equity / debt weight 92% / 8%

**WACC = 10.2%**

Multiple methods converge above the current price — target \$58



**We set a 12-month target of \$58 — above base DCF \$52, allowing execution risk — implying +38% upside**  
*The P/E low end (~\$32) sits below today's price, showing how little recovery is required for the stock to work*

Base-case assumptions

| Assumption                   | Value         |
|------------------------------|---------------|
| Revenue growth (FY26 → FY30) | −5.8% → +4.2% |
| EBIT margin (FY26 → FY30)    | 12.5% → 15.0% |
| Tax rate                     | 24%           |
| Capex % of revenue           | 4.0%          |
| WACC                         | 10.2%         |
| Terminal growth              | 2.25%         |

VALUATION OUTPUT (US\$ M)

|                                |       |
|--------------------------------|-------|
| PV of explicit FCF (FY26–FY30) | 892   |
| PV of terminal value           | 2,148 |
| Enterprise value               | 3,040 |
| Plus: net cash                 | 160   |
| Equity value                   | 3,200 |
| ÷ Diluted shares (M)           | 118.6 |

Implied value: \$52 / share

Sensitivity — implied share price (WACC vs terminal growth)

| WACC \ g | 1.5% | 2.0% | 2.25% | 2.5% | 3.0% |
|----------|------|------|-------|------|------|
| 9.2%     | \$54 | \$56 | \$58  | \$60 | \$64 |
| 10.2%    | \$48 | \$50 | \$52  | \$53 | \$56 |
| 11.2%    | \$43 | \$45 | \$46  | \$48 | \$50 |

*SUMM screens cheap on absolute and relative multiples*

| Company                   | EV/EBITDA | P/E (fwd) | Rev growth  | Op margin |
|---------------------------|-----------|-----------|-------------|-----------|
| Summit Outdoor Co. (SUMM) | 5.2x      | 8.4x      | −6% (FY26E) | ~14%      |
| Columbia (COLM)           | 9.8x      | 16.2x     | low-single  | ~12%      |
| Deckers (DECK)            | 7.9x      | 12.1x     | mid-teens   | ~22%      |
| VF Corp (VFC)             | 10.1x     | 14.0x     | flat/decl.  | ~8%       |
| Canada Goose (GOOS)       | 11.5x     | 18.5x     | mid-single  | ~18%      |
| Amer Sports (AS)          | 14.2x     | 22.0x     | high-single | ~15%      |

### Read-through

- SUMM trades at roughly half the EV/EBITDA of branded outdoor peers despite similar gross margins
- Discount reflects near-term Americas weakness, not structural inferiority
- Partial re-rating to 7x EV/EBITDA implies ~\$55/sh — still below historical median

**BEAR \$34**

–19%

- FY2026 revenue –9%; growth stays flat FY28–30
- Terminal EBIT margin 11.5%
- WACC 11.2%; terminal growth 1.5%
- Americas decline persists; share loss continues

**BASE \$52**

+24%

- FY2026 revenue –5.8%; returns to +4% by FY2028
- Terminal EBIT margin 15.0%
- WACC 10.2%; terminal growth 2.25%
- International offsets stabilizing Americas

**BULL \$78**

+86%

- FY2026 revenue –3%; +7% avg FY27–30
- Terminal EBIT margin 16.5%
- WACC 9.2%; terminal growth 3.0%
- Margin recovery; brand re-accelerates

***Probability-weighted value (25% / 50% / 25%) ≈ \$56 — risk/reward skews to the upside***

*Data provenance and standard research disclaimer*

## **Sources**

- Historical financials: Summit Outdoor Co. Form 10-K via SEC EDGAR (CIK 0001234567); FY2025 ended January 31, 2026
- Q2 FY2026 results and FY2026 guidance: company earnings release dated July 15, 2026
- Market data (price, shares, beta): public market sources as of September 2026
- Projections, DCF and comparable-company analysis: GIS Investment Research models — replace with your company data
- Summit Outdoor Co. is a fictional GIS template example; swap all figures for your assigned company

## **Disclaimer**

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